2nd Quarter 2011 Commentary

Reviewing Certain Current Fears and Clearing Prices

Last year's June *Commentary* addressed the anxiety surrounding the Greek debt crisis and its potential global impact, a situation that continues to stoke crisis concerns today. It is one of many alarms batted about in the financial news media in their breathless style throughout the year; the presumptive commercial real estate crisis, the looming U.S. debt deadline, a persistently high unemployment rate are others. However, perceived risk and real risk are very different phenomena and even where a real risk exists, the common reaction, powerfully motivated by our sociobiological heritage – to flee – is often the incorrect one. This is because the financial markets are a social system, not an ordered, fixed system – a *market* – such that whatever equation might be true in one moment immediately induces reactions and counter-reactions among the other participants, and these reactions change the equation. One needs merely think of the Internal Revenue Code and the extraordinary level of activity among countless individuals and business entities in, let us call it, the tax *market*; that is immediately catalyzed by any change to the tax code. And, much as in the financial markets, a great deal of this activity – typically by the more sophisticated participants – is made well in advance of any enactment of a code change.

Through the selling pressure of investors, the impact of a broadly perceived risk upon the clearing prices of an asset can create a discount. The discount is often sufficiently large as to not only nullify the risk, but even produce an investment opportunity. There is also the secondary impact of coping, or adaptive behavior. Since corporate executives were also traumatized by the financial crisis of 2008/2009, by mid-2010 their husbanding of cash had already made corporate balance sheets more liquid than they had been in two generations. Ergo, even as fears of renewed financial risk were feeding incipient panic, the risk was already remarkably lower.

Nevertheless, fears of systemic financial risk in June 2010 engendered distrust not only of common stocks but even of senior corporate securities and non-Federal government obligations. We observed that investor preference for the perceived safety of U.S. Treasuries over common stocks had priced 10-year Treasury notes at only 3%, whereas their aversion to stocks had produced an average 10% earnings yield (P/E of 10) for two-thirds of the S&P 500 companies. Merely as an observation – not a prediction, for that is not our trade – we noted that the fear of crisis had created a marked valuation opportunity in mainstream equities.

Federal Government Credit vs. the Totality of Local Government Credit

Now, with another June passed, the Greek credit crisis is again in the news, yet the U.S. stock market is some 30% higher. But the ways in which investors have chosen to manifest their fears have changed – and the choices of what to fear and what not to fear seem strangely disassociated. There is still such powerful demand for the credit safety of the U.S. government that investors are willing to accept an interest rate of 0% in 3-month Treasury bills and just over a 3% pre-tax rate in 10-year notes. Really, though, that is not the avoidance of risk. It is merely the exchange, albeit unwitting, of one form of risk for another: the avoidance of credit risk in exchange for a high degree of interest rate and/or inflation and/or taxation risk. Should 10-year Treasury rates rise to 5% in, say, one year, the price loss would be about 15%. This is not a prediction about next year's interest rates, merely an observation of the risk-reward tradeoff of a 10-year Treasury yielding a mere 3%.

Contrarily, investment-grade municipal bonds that are direct state obligations yield 4.3% for 10-year maturities, and 5.2% for 15-year maturities, while closed-end municipal bond funds, even having average credit ratings as high as AA, yield up to 7%[1]. The last figure is roughly 165% greater than the after-tax return of a comparable-maturity Treasury. It bears repeating that perceived and actual risk are two very different phenomena. Perceived risk here is viewed through the prism of news about the fiscal strains among various states. An actual risk assessment would incorporate the statutory and legal rights and priorities of municipal bond holders, the adaptive behavior of the parties involved (local budget expense curtailments, tax increases, economic recovery), as well as historical performance. In the historical record, the default rate among investment grade municipal bonds is effectively zero (Fitch, the municipal bond credit rating agency, published a study in 2007, in which it pointed out that "Fitch is not aware of any state that permanently defaulted on its general obligations or tax-backed debt in the post-Civil War era"[2]).

As of July 1, 2011	U.S. Treasury Note	Closed-End Muni Bond Fund – N.Y.	Closed-End Corp. Bond Fund	Closed-End Muni Bond Fund – Nat'l.
Investment	$1,000,000	$1,000,000	$1,000,000	$1,000,000
Interest rate/Yield[1]	1.8%	6.0%	7.0%	7.0%
After-tax rate	1.18%	6.0%	4.2%	6.65%
# Holdings	1	60+	80+	100+
Average maturity	5 yrs.	5 yrs.	4 yrs.	20 yrs.
Credit rating	AAA	AA+	BBB+	AA-
Tax rate	35%	0%	40%	0%
After-tax income	$11,800	$60,000	$42,000	$66,500

Sources: Bloomberg, CEF Connect

Considering the problem conceptually, what type of catastrophic economic scenario would create, let us say, a 15% credit loss across a diversified portfolio of investment grade municipal bonds? For context of scale, state and local expenditures are about 50% of the size of total

[1] Closed-end fund yields are presented based on their annualized distribution rate which includes leverage employed within the funds. The closed-end funds presented are Alliance NY Municipal Income (AYN), Duff Phelps Utility&Corp Bond (DUC), BlackRock MuniHoldings Quality (MUS). None of the closed-end funds listed above are affiliated with Horizon Kinetics LLC.

[2] David T. Litvack, Thomas J. Abruzzo, and Mia Koo, *Special Report: Default Risk and Recovery Rates on U.S. Municipal Bonds* (New York: Fitch Ratings, Ltd, 2007). Historical performance is not a guarantee of future results.

federal expenditures. Could such a catastrophe among the nation's local governments leave a U.S. Treasury holder unscathed? Yet, a Treasury holder readily accepts that level of interest rate price risk, while rejecting a truly remunerative tax-exempt return due to a perceived risk that is, in practical terms, quite possibly remote and not meaningfully different.

As an aside, is it not odd that a corporate bond fund with a low-level investment grade rating trades at the same yield as a tax-exempt fund with a high investment grade rating? This is relevant for tax-exempt institutional investors as well as for individuals, because although tax-advantaged investments are usually excluded from consideration as a matter of course, there is no objective reason to not own a tax-exempt security if it offers a superior return profile. One must suppose that eventually, the after-tax yield relationship between tax-exempt and taxable bonds will be restored – that is, if the clearing price for a corporate bond yields 7%, a comparable quality tax-exempt bond should yield roughly 4.5%. In that event, the relative price returns of municipal bonds should exceed those of corporate bonds on the order of 10% or more. The default rate among BBB-rated corporate bonds, though historically low at 0.3% annually[3], nevertheless is a persistent phenomenon, whereas it has not been among higher-rated investment grade municipal issuers.

The Profit Growth Challenge for U.S. Equities

There is some restatement here of prior commentary, but the mere fact that an observation was already made does not mean that the condition observed is no longer the case. And some messages bear repeating. The domestic stock market's earnings growth is, perhaps self-evidently, an expression of U.S. corporate profit growth. The rate of corporate profit growth experienced in the U.S. over the past half-century and more is unlikely to be repeated. The post-World War II profit expansion experience was supported by a number of factors that have already or will soon have exhausted themselves. It follows, then, that the future record may meaningfully conflict with the historical record that forms the basis for our expectations of domestic equity returns. To review only two of these variables and contrast them with the current state of affairs:

- Corporate tax rates over the past 50+ years have declined by 17%. That not only represents an extraordinary amount of profit creation, it is also seemingly impossible to replicate.
- Federal expenditures since 1950 have risen by 7.7% per year[4], which is 1% more rapid than the 6.7% annual expansion in nominal GDP[5]. Aside from indirect orders, this spending includes direct orders for everything from toothpaste to weaponry for the 1.5

[3] http://www.moodys.com/sites/products/DefaultResearch/2007400000578875.pdf
[4] www.gpoaccess.gov
[5] http://www.bea.gov/national/

million members of the armed forces[6], to coffee, copy paper and personal computers for the 2.7 million non-military federal employees[7], rent for the offices they occupy, and so forth. These goods and services are sold by the Krafts and IBMs, Boeings and office Real Estate Investment Trusts ("REITs") that make up the U.S. stock market indices. There are also the direct transfer payments to the citizenry who, in turn, spend those receipts. State and local governments, with their 4.4 million employees,[8] have increased their expenditures by 7.5% annually since 1950[9]. It is highly unlikely that such a rate of spending, and the incremental sales it has represented to corporate income statements, can continue. If nothing else, the interest expense burden of the national debt will crowd out other expenditures.

These observations are made at a time when the profit margins of major U.S. corporations are at or near all-time highs. To see the impact of rising profit margins, the following table, however roughly conceived, suggests what the benefit has been over merely the past two decades. For ease of calculation, it simply samples, beginning with the largest two companies in the S&P 500, every fifth company, down to the 47th, FMC Corp. Though a small sample, it covers market capitalizations from $400 billion down to $6 billion, and industries ranging from oil production and refining to technology, entertainment, heavy equipment, chemicals, pharmaceuticals, consumer electronics, retailing, and telephony.

Of these 11 companies, only three did not experience a meaningful increase in profit margin. Even seemingly modest increases of only a few margin points, such as ExxonMobil's shift from a 4.9% net margin in 1991 to 7.9% in 2010, really represent enormous profit expansion. The increase from 4.9% to 7.9% is, of course, a 61% expansion in margin. Whatever else ExxonMobil may have accomplished during those two decades, whether in the realm of acquisitions or exploration or technological development, those 3 points of margin expansion added 2.5% per year to earnings growth.

	Net Profit Margin		Annualized Earnings Benefit
	2010	1991	
ExxonMobil	7.9%	4.9%	2.5%
Apple Inc.	21.5	7.5*	6.0
AT&T Inc.	15.4	12.4	1.0
Johnson & Johnson	21.7	11.7	3.3
Oracle Corp.	22.9	5.2*	8.6
Intel Corp.	26.3	17.1	2.3
Cisco Systems	19.4	26.5*	-1.8
Walt Disney Co.	10.4	10.4	0.0
Caterpillar Inc.	6.3	-2.1	nm
Home Depot Inc.	4.9	4.8	0.1
FMC Corp.	6.6	4.2	2.4

*For Apple and Oracle, 1992; for Cisco, 1993, based upon earliest 10-K available on www.sec.gov.
Source: Bloomberg & Company Reports

6 http://siadapp.dmdc.osd.mil/personnel/MILITARY/ms0.pdf
7 http://www2.census.gov/govs/apes/09fedfun.pdf
8 http://www2.census.gov/govs/apes/09stus.txt
9 www.census.gov/compendia/statab/past_years.html,

Margins have also been assisted, in the wake of the 2008/2009 financial crisis, by extraordinary efforts to reduce workforces, limit R&D expenditures, eliminate excess production capacity, and curtail capital expenditures. This is not a positive for future profit growth, though, because it is not repeatable; one can only reduce R&D to zero, and one cannot even reduce employees to zero, because corporate law and securities regulations require a certain minimum number of corporate officers, as well as compliance and accounting personnel (even if outsourced). Realistically, underinvestment ultimately leads to lower returns on capital. As well, the continued build-up of cash on corporate balance sheets, at or near all-time highs, can only serve to reduce return on capital, since cash returns are nearly zero.

Margin-of-Safety and Some Methods to Acquire It

A concern was voiced by some clients recently, a concern that found expression in an absence of desire to invest via almost any modality. It was based on fear, or at least uncertainty, about future government policies that would in some fashion be geared toward a redistribution of wealth in order to address the current financial and budget stresses. There are many methods by which governments can accomplish this: bond income can be taxed away or inflated away, deductions can be erased, thresholds raised.

One answer to that threat might be, if one had sufficient wealth, to hire the very best tax advisors and private investment specialists in the world in order to craft elaborate, perhaps elegant, esoteric, even daring stratagems to protect against confiscatory government policies. That advice, in aggregate, could easily cost hundreds of thousands, even millions of dollars. Yet, it might hardly matter.

The reason is that some of the most effective advice would probably require the creation or acquisition of various legal entities in order to execute. It might involve real estate held in a specific form, perhaps within two or more related corporate entities or partnerships; ventures in different overseas tax jurisdictions; the acquisition of a corporate entity with an embedded tax loss carryforward that could be utilized against other income; the purchase of a business with large amortization and depreciation charges that could shield income, yet which doesn't require meaningful capital expenditures; the exchange of current income for some form of assured long-term capital gain – the possibilities are limited only by the creativity of the human imagination.

But as a practical matter, these solutions would mostly be unavailable. Certain approaches would require a minimum scale that, to be cost-effective would require prohibitively large amounts of capital, even for a wealthy individual. Even if this were feasible, to truly be engaged in such ventures necessitates involvement in that business in a control position; most of us cannot or will not be doing that – it might not be our skill set or it might be excessively time consuming. The standard alternative is to purchase a small minority, passive interest in such ventures. But that which is made available to individuals is typically a retail product packaged by a financial institution or investment bank. That institution will already have removed, as a manufacturing fee, a goodly portion of the potential benefit, such that there might be an incremental benefit, but not necessarily a truly pleasing one. As well, one must often take on the institutional issuer as guarantor of that financial product, which can pose other concerns.

But what if, in the manner of fantasy baseball, there were a way, without massive consulting fees, without having to commission new corporate entities, constitute boards of directors or engage in complex tax filings or otherwise disrupt one's life, to readily assemble some of the best talent available, complete with the requisite investment vehicles? Continuing with our fantasy, we will impose a stringent set of due diligence requirements:

- each of these vehicles will be managed by an already enormously wealthy individual;
- that manager will have to provide a verifiable history of superior operating results;
- moreover, much or most of that individual's life's savings is required to be invested in this vehicle.

Each of these talented, seasoned, motivated managers will presumably, by virtue of self interest, be intent upon the very same objectives as ourselves: to obtain a superior after-tax return on that capital. This would implicitly entail great efforts to minimize income taxes and very possibly estate taxes. Each will pursue their own specialties and strategic visions, and draw on their own assemblage of advisors for tactical value maximization. They will do it for us.

Now, one can take a conceit too far, so we'll stop here. We speak, of course, of the owner-operator business model. With it, one can do precisely what is imagined above. Drawing examples merely from positions established or added to during the past quarter, these will be viewed from the perspective of their employment of specialized strategies or facilities for value creation that are rarely available to individuals. What to do about credit crises, currency collapses, double-dip recessions, et al? One simply presumes that each of these individuals will adapt to risk and take opportunity as best they can – but with better information, resources and tools than you or we have, and with better alignment of interests and sense of urgency than the agent-operator companies generally known, in aggregate, as the stock market.

Summary

As a final comment, most of these companies, despite superior records, trade at meaningful discounts to the average company and, indeed, to their historical valuations, because as a group they are decidedly not recipients of the great flow of capital into index funds and ETFs that marks the current period. It is a most unusual intersection of qualitative and quantitative virtues that should ultimately produce very satisfactory returns.

Position Highlights

Greenlight Capital Re (Core Value)
Greenlight continued to be added to certain strategies during the quarter. Controlled by David Einhorn, Greenlight employs its insurance company structure in much the same manner as Berkshire Hathaway has, which is to use the float (the ongoing average balances of premiums received but not yet paid out as claims) to purchase undervalued investments. It can be a very effective form of leveraging the return on one's underlying investments, but is clearly a highly regulated business that requires a fair degree of scale. Greenlight is incorporated in the Cayman Islands, in which jurisdiction in which it pays no taxes. It does have two subsidiaries, one incorporated in Ireland (12.5% tax rate), and the other in Delaware, so that Greenlight's effective tax rate for 2010 was 0.4%. Book value per share growth for the past five years has been 13.2%. The shares trade at 1.2x book value.

DreamWorks Animation SKG (Core Value)
The SKG in the title is the acronym for co-founders Spielberg, Katzenberg (also CEO) and Geffen, who control the company. The leading animated film producer, DreamWorks is typically valued on the basis of its annual earnings, which are uneven, and the valuation multiple is modest. However, the film library, which is only a dozen years old, is enhanced with each film produced. Film libraries can have enormous value because re-releases of prior films produce revenue with very limited incremental cost. This large and growing asset is not properly reflected in the share price and is, effectively, a tax-advantaged mode of value creation. The company is a persistent acquirer of its own shares, having repurchased almost 20% since it came public near year-end 2004. Book value per share growth during those six years has been 10.9%. The shares trade at 1.4x book value, and at 12.9x consensus earnings for next year. An exercise that ascribes a separate net margin to the revenues currently generated by the film library suggests a value, at the current P/E, of roughly an additional 50% of the company's market capitalization. And the library expands with every passing year.

Global Logistic Properties (Research Select)
Global Logistic Properties ("GLP") came to market in an interesting way, rich with information and capital access advantages of a rarified sort. Former parent ProLogis, the largest warehouse/distribution facilities REIT, was under pressure during the 2008 financial crisis, as were many other real estate-related companies. Its shares declined from the $50-$60 range in early 2008 to about $10 by the beginning of November 2008. That month, the company announced the sale of the bulk of its Japanese and Chinese operations to the Government of Singapore Investment Corporation ("GIC") for $1.3 billion. This permitted ProLogis to defease most of its short-term debt. Meanwhile, the ProLogis CEO and Chairman, Jeffrey Howard Schwartz, who had established the ProLogis entry into the European and Asian markets some years earlier, resigned from ProLogis to become GLP's co-founder, Deputy Chairman and Chairman of the Executive Committee. Two years later, in October 2010, GLP went public,

raising, at $2.7 billion, twice the price originally paid for the operations for somewhat less than one-half of the equity. The major portion of the proceeds was deployed toward further expansion in China. GIC continues to hold just over 50% of GLP's shares.

GLP's first market was Japan, where various traditions resulted in small, often poorly-designed warehouses that could not provide large-scale, rapid turnover operations suitable to large companies such as Wal-Mart. GLP brought modern, large-format logistics warehousing to Japan, and it became a growth business in a no-growth economy. That business is quite profitable, with GLP's average lease terms being six years and occupancy rates typically in the 99% to 100% range. GLP's subsequent entry into China has been robust. It has surpassed the Japanese market in terms of physical scale, with 4.0 million square meters ("sqm") of completed properties, versus 2.8 million sqm in Japan, and another 5.7 million sqm of land reserve. These operations are in 20 major cities, and the company has been encouraged in its land acquisitions by the government; logistics facilities being necessary to the rapid expansion of consumer-driven commercial activity. This past year, GLP acquired a majority interest in the sole logistics operator in the world's 2nd largest airport, the Beijing airport.

In rough profile, China now accounts for two-thirds of the company's floor area in operation or under development, but only about one-third of earnings. Revenue for the year ended in March was up 15%, operating income up 35%, and net income up 56%. The distribution within those figures was as follows (in local currency) – Japan revenue up 1% and China revenue up 41%; Japan operating income up 14% and China operating income up 79%. Net debt is 30% of equity. The shares trade at 1.2x book value.

Icahn Enterprises (Research Select)
Carl Icahn owns the overwhelming majority of Icahn Enterprises, which comprises $3.5 billion of his wealth. If one wishes to view the alignment of management motivation and flexibility with owners' interests, one could hardly choose a better model. The U.S. residential real estate crisis was already a record-book phenomenon by 2008. The worst peak-to-trough experience was in Las Vegas, which from mid-2006 to year-end 2010 declined by over 55%. Mr. Icahn owns a home in Las Vegas. How does one react to such a crisis? How should one?

In February 2010, Icahn Enterprises purchased the unfinished Fontainebleu Las Vegas hotel and casino project, along with its 25 acres of land. The cost was $148 million. Since the developers had invested $2 billion in construction costs prior to the purchase, Icahn Enterprises paid roughly $0.08 on the dollar for it. The capacity to provide immediate liquidity and to hold a dormant investment for an extended period were two of the factors that tilted the bankruptcy court auction for that property in the company's favor.

By conventional measures, the Icahn Enterprises units trade at 1.1x book value. However, that figure includes, among other undervalued investments, the Fontainebleu property at 8¢ on the dollar, for a $2 billion property, as against the company's $3.5 billion book value. What if this were to be resold to a developer for $0.20 on the dollar, or $0.30, or some higher figure? This level of optionality is present in other Icahn Enterprises holdings as well. A more informative way of viewing the company is to use the public market value of those holdings that trade publicly, such as Federal Mogul the car parts manufacturer. On that basis, and adding the company's net cash as well as its private assets at book value, the shares are worth 35% more than where they now trade. That method, though, still prices the Fontainebleu property at cost, and undervalues other significant properties within the portfolio.